

LEXRISK — LEGAL RED TEAM REVIEW

Contract: Simple Software Services Agreement

Exposure Score: 45/100

Critical / High: 4 **Total Risks:** 6 **Clauses:** 11

Engine: Gemini gemini-2.5-flash

AI-assisted review. Proposed amendments require lawyer review before reliance or execution.

EXECUTIVE RISK SUMMARY

Severity	Risk	Confidence	Clauses
CRITICAL	Contradictory Liability Limitation	95%	C5
HIGH	Deemed Acceptance Creates Operational Risk	93%	C3
HIGH	Payment Survives Material Breach Termination	91%	C2, C4
HIGH	Vague Data Protection Standards	89%	C8
MEDIUM	Insufficient Confidentiality Period	86%	C6
MEDIUM	Ambiguity in Notice Effectiveness	84%	C9

1. Contradictory Liability Limitation

Severity: CRITICAL **Confidence:** 95% **Grounding:** 100%

Affected Clauses: C5

DESCRIPTION

The monetary liability cap is weakened by a broad exception for losses arising from breach.

OPPOSING COUNSEL ATTACK

Opposing counsel could argue that almost any contractual loss arises from breach and therefore falls outside the SGD 50,000 cap.

CLIENT COUNSEL DEFENCE

Client could argue that the commercial purpose of the cap was to establish a meaningful aggregate ceiling and that the exception should be interpreted narrowly.

NEUTRAL FINDING

The exception is materially broader than the cap and creates significant uncertainty over whether the SGD 50,000 ceiling actually limits ordinary breach claims.

WORST-CASE EXPOSURE

A substantial contractual claim could be argued to fall outside the stated liability ceiling.

RECOMMENDED FIX

Define the categories of liability that are excluded from the cap and expressly state that ordinary breach claims remain subject to the aggregate cap.

EVIDENCE

[C5] Clause 5

Quote: Provider's total liability under this Agreement is limited to SGD 50,000.

Why: Establishes the apparent aggregate liability cap.

[C5] Clause 5

Quote: This limitation does not apply to losses arising from Provider's breach of this Agreement.

Why: Creates the broad exception that can undermine the preceding cap.

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Action: REPLACE

Clause: 5

CURRENT LANGUAGE

Provider's total liability under this Agreement is limited to SGD 50,000. This limitation does not apply to losses arising from Provider's breach of this Agreement.

PROPOSED LANGUAGE

Except for liability arising from fraud, wilful misconduct, or liability that cannot lawfully be limited, Provider's aggregate liability arising out of or in connection with this Agreement, whether in contract, tort or otherwise, shall not exceed SGD 50,000. For clarity, liability for ordinary breach of this Agreement remains subject to this aggregate cap.

RATIONALE

Preserves a meaningful aggregate cap while identifying specific exceptions instead of excluding all breach-based losses.

LAWYER NOTE

Confirm the intended excluded liability categories against the transaction risk allocation and applicable law.

2. Deemed Acceptance Creates Operational Risk

Severity: HIGH **Confidence:** 93% **Grounding:** 100%

Affected Clauses: C3

DESCRIPTION

Silence within 10 Business Days automatically converts into acceptance.

OPPOSING COUNSEL ATTACK

Opposing counsel could rely on an internal review delay to establish deemed acceptance even where defects are later discovered.

CLIENT COUNSEL DEFENCE

Client could argue that acceptance is conditional on the deliverable satisfying the agreed specifications.

NEUTRAL FINDING

The clause creates a clear time-based acceptance mechanism but does not expressly preserve rights for latent defects.

WORST-CASE EXPOSURE

Client may lose leverage to reject defective work discovered after the review window.

RECOMMENDED FIX

Preserve rights for latent defects and material non-conformity.

EVIDENCE

[C3] Clause 3

Quote: If Client does not object within 10 Business Days, the Deliverable will be considered accepted.

Why: Creates automatic acceptance based solely on silence.

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Action: REPLACE

Clause: 3

CURRENT LANGUAGE

Client has 10 Business Days to review each Deliverable. If Client does not object within 10 Business Days, the Deliverable will be considered accepted.

PROPOSED LANGUAGE

Client has 10 Business Days to review each Deliverable. If Client does not object within that period, the Deliverable will be deemed accepted solely for purposes of progressing the Services; provided that such deemed acceptance shall not waive Client's rights in respect of latent defects, material non-conformity, or failures to meet the agreed project specifications.

RATIONALE

Retains a practical acceptance deadline while protecting the Client against defects that could not reasonably have been identified during the review period.

LAWYER NOTE

Confirm whether the transaction requires a separate warranty or defect-remediation period.

3. Payment Survives Material Breach Termination

Severity: HIGH **Confidence:** 91% **Grounding:** 100%

Affected Clauses: C2, C4

DESCRIPTION

The payment provision does not distinguish usable work from work affected by a material breach.

OPPOSING COUNSEL ATTACK

Provider could argue that all completed work remains payable even where termination resulted from Provider's material breach.

CLIENT COUNSEL DEFENCE

Client could argue that payment should be adjusted where the Provider's breach prevents the work from delivering the agreed value.

NEUTRAL FINDING

The termination payment language does not expressly address the consequences of Provider-caused material breach.

WORST-CASE EXPOSURE

Client could pay for incomplete or commercially unusable work after exercising a breach termination right.

RECOMMENDED FIX

Tie final payment to conforming work and preserve rights to recover amounts connected with the material breach.

EVIDENCE

[C4] Clause 4

Quote: After termination, Client must pay Provider for all work completed before the termination date.

Why: Requires payment without distinguishing the reason for termination or quality of completed work.

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Action: REPLACE

Clause: 4

CURRENT LANGUAGE

After termination, Client must pay Provider for all work completed before the termination date.

PROPOSED LANGUAGE

After termination, Client shall pay Provider only for Services and Deliverables properly performed and conforming to the agreed project specifications before the termination date. Where termination results from Provider's material breach, Client may withhold or set off amounts reasonably attributable to the breach, without prejudice to any other contractual remedies.

RATIONALE

Separates payment for conforming work from work affected by the Provider's material breach.

LAWYER NOTE

Confirm the desired set-off and withholding rights against the commercial deal.

4. Vague Data Protection Standards

Severity: HIGH **Confidence:** 89% **Grounding:** 100%

Affected Clauses: C8

DESCRIPTION

The contract permits processing of Client information and requires only reasonable protective steps.

OPPOSING COUNSEL ATTACK

A provider could argue that minimal safeguards satisfy the vague reasonable-steps standard.

CLIENT COUNSEL DEFENCE

Client could argue that the Provider's security obligations must be interpreted consistently with the sensitivity of the information being processed.

NEUTRAL FINDING

The clause establishes a general obligation but leaves important security requirements unspecified.

WORST-CASE EXPOSURE

A security incident could trigger disagreement over whether the Provider complied with its contractual obligations.

RECOMMENDED FIX

Specify minimum security, access-control, incident and data-handling requirements.

EVIDENCE

[C8] Clause 8

Quote: Provider will take reasonable steps to protect Client information.

Why: Uses a broad standard without defining minimum controls.

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Action: REPLACE

Clause: 8

CURRENT LANGUAGE

Provider may process Client information as necessary to provide the Services. Provider will take reasonable steps to protect Client information.

PROPOSED LANGUAGE

Provider may process Client information only to the extent necessary to provide the Services and shall implement appropriate technical and organisational measures to protect such information against unauthorised access, disclosure, alteration, loss or destruction. Provider shall promptly notify Client of any actual or reasonably suspected unauthorised access or disclosure affecting Client information.

RATIONALE

Replaces the vague reasonable-steps standard with specific protection objectives and an incident notification obligation.

LAWYER NOTE

Align this provision with the parties' actual data processing arrangements and any separate data-processing terms.

5. Insufficient Confidentiality Period

Severity: MEDIUM **Confidence:** 86% **Grounding:** 100%

Affected Clauses: C6

DESCRIPTION

Confidentiality obligations terminate one year after termination.

OPPOSING COUNSEL ATTACK

A party could wait until the contractual confidentiality period expires before using information that remains commercially sensitive.

CLIENT COUNSEL DEFENCE

The parties can argue that one year represents the commercially agreed survival period.

NEUTRAL FINDING

The clause establishes a fixed period but does not distinguish ordinary confidential information from information that may remain sensitive for longer.

WORST-CASE EXPOSURE

Sensitive business information may lose contractual protection after one year.

RECOMMENDED FIX

Use a longer survival period or indefinite protection for trade secrets and similarly sensitive information.

EVIDENCE

[C6] Clause 6

Quote: These obligations continue for one year after termination.

Why: Sets a short and undifferentiated confidentiality period.

6. Ambiguity in Notice Effectiveness

Severity: MEDIUM **Confidence:** 84% **Grounding:** 100%

Affected Clauses: C9

DESCRIPTION

Email notices become effective when sent rather than when receipt is established.

OPPOSING COUNSEL ATTACK

A party could argue that a notice took effect even if the recipient did not actually receive or read the email.

CLIENT COUNSEL DEFENCE

Client could argue that the provision expressly establishes sending as the agreed trigger.

NEUTRAL FINDING

The clause is clear that sending triggers effectiveness, but it creates operational risk where email delivery fails.

WORST-CASE EXPOSURE

A termination or breach notice could become effective without the recipient knowing about it.

RECOMMENDED FIX

Specify delivery requirements and a fallback method for important notices.

EVIDENCE

[C9] Clause 9

Quote: Notices are effective when sent by email to the last email address provided by the receiving party.

Why: Uses sending rather than successful delivery as the trigger.